Electric cars in New Zealand: the right road, but not the only one

Sofia Reyes (srey914) · BUSINESS 201 · Essay · Word count: 600

New Zealand has one of the cleanest electricity systems in the world, yet transport still makes up a large share of the country's emissions. This makes the question of electric cars more interesting here than in most places. I argue that electric cars are the right long-term path for New Zealand, because our electricity makes them genuinely cleaner, but that they should not be the only path: without cheaper second-hand EVs and better public transport, the change will be slow and unfair to the people who drive the most.

The strongest argument for EVs is the electricity they run on. Around 85 to 88 percent of New Zealand's electricity is renewable, mostly hydro and geothermal, with wind growing quickly. In a country that burns coal for power, an electric car moves emissions from the exhaust pipe to the power station; here it mostly removes them. The figure does change with the weather, though. In dry years, when the southern lakes are low, the Huntly Power Station burns more coal, so the clean-energy advantage is real but not guaranteed. Building more wind and solar is part of making EVs worth it.

Running costs are the second argument, and they are less straightforward than they used to be. Since April 2024, light EVs have paid road user charges of $76 per 1,000 km. For a driver doing 12,000 km a year, like my mum commuting from Pukekohe, that is about $912 a year, which is no longer trivial. Charging at home overnight is still much cheaper than petrol for the same distance, so a commuter comes out ahead, but the gap has narrowed and the Clean Car Discount that lowered purchase prices ended in 2023.

Price is where the case for EVs is weakest. New electric cars cost thousands more than comparable petrol cars, and the people who spend the largest share of their income on fuel are the least able to buy any new car. In practice, most affordable EVs here are second-hand imports from Japan with older batteries and shorter range. That is fine for a city commute but not for a farmer in Northland. If the government wants the switch to reach everyone, support should go to second-hand EVs and regional chargers rather than new luxury models.

The main counter-argument is that EVs keep New Zealand dependent on cars. Public transport offers an important alternative to electric cars, particularly in Auckland. Investment in frequent bus networks and dedicated busways can move far more people per lane than private vehicles, reducing both emissions and congestion. Unlike electric cars, which still need road space and parking, public transport helps people who cannot afford a vehicle. I

think this objection is right for Auckland and Wellington, but it does not work for rural areas, where distances are long and buses are rare.

For that reason, the choice is not between EVs and public transport. Cities should prioritise buses, trains and cycleways, which cut emissions and congestion at the same time, while EVs make most sense for trips that public transport cannot realistically cover. Treating the two as competitors misses that they solve different problems.

In conclusion, electric cars are the right path for New Zealand because our largely renewable grid makes them far cleaner here than in most countries, and they remain cheaper to run for most commuters even after road user charges. However, they are not the only path. Cheaper second-hand EVs, more regional chargers and better public transport in the cities are what will make the transition both fast and fair.

References

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